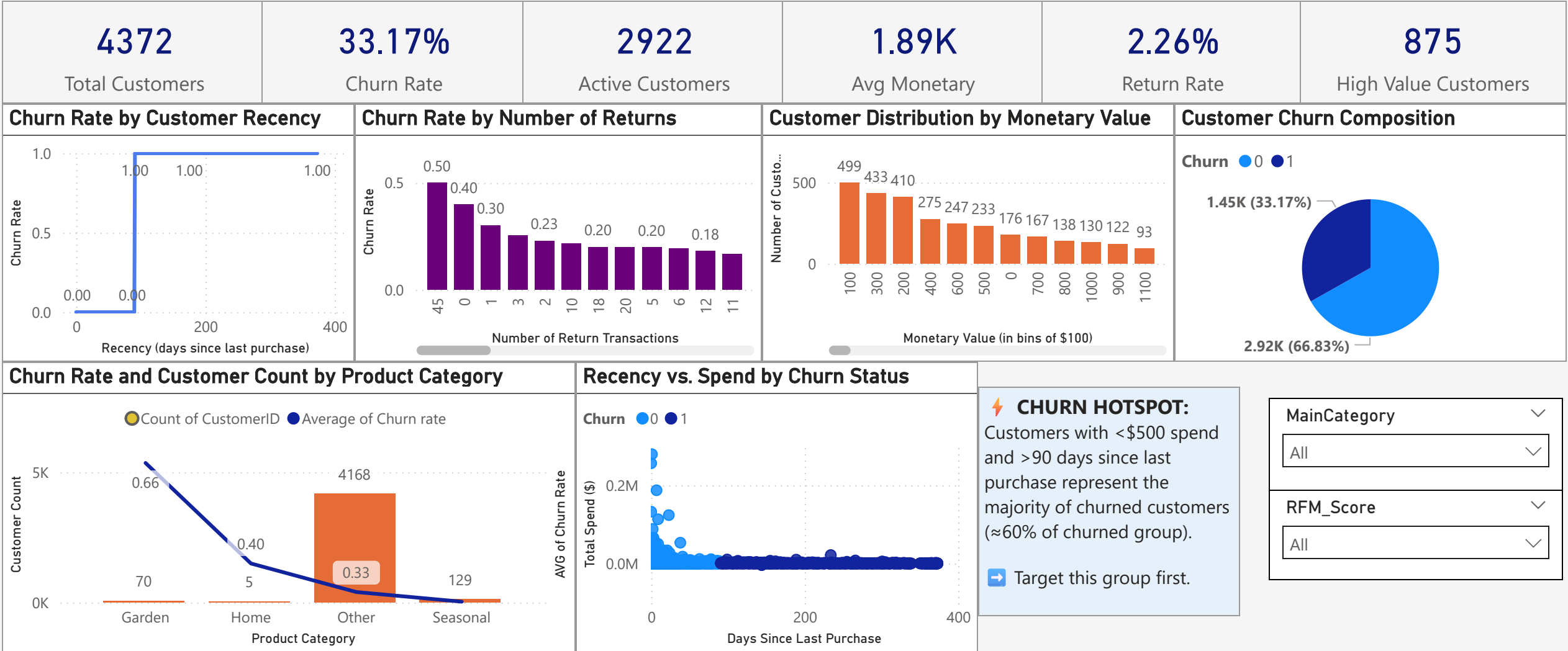


CUSTOMER CHURN ANALYSIS DASHBOARD

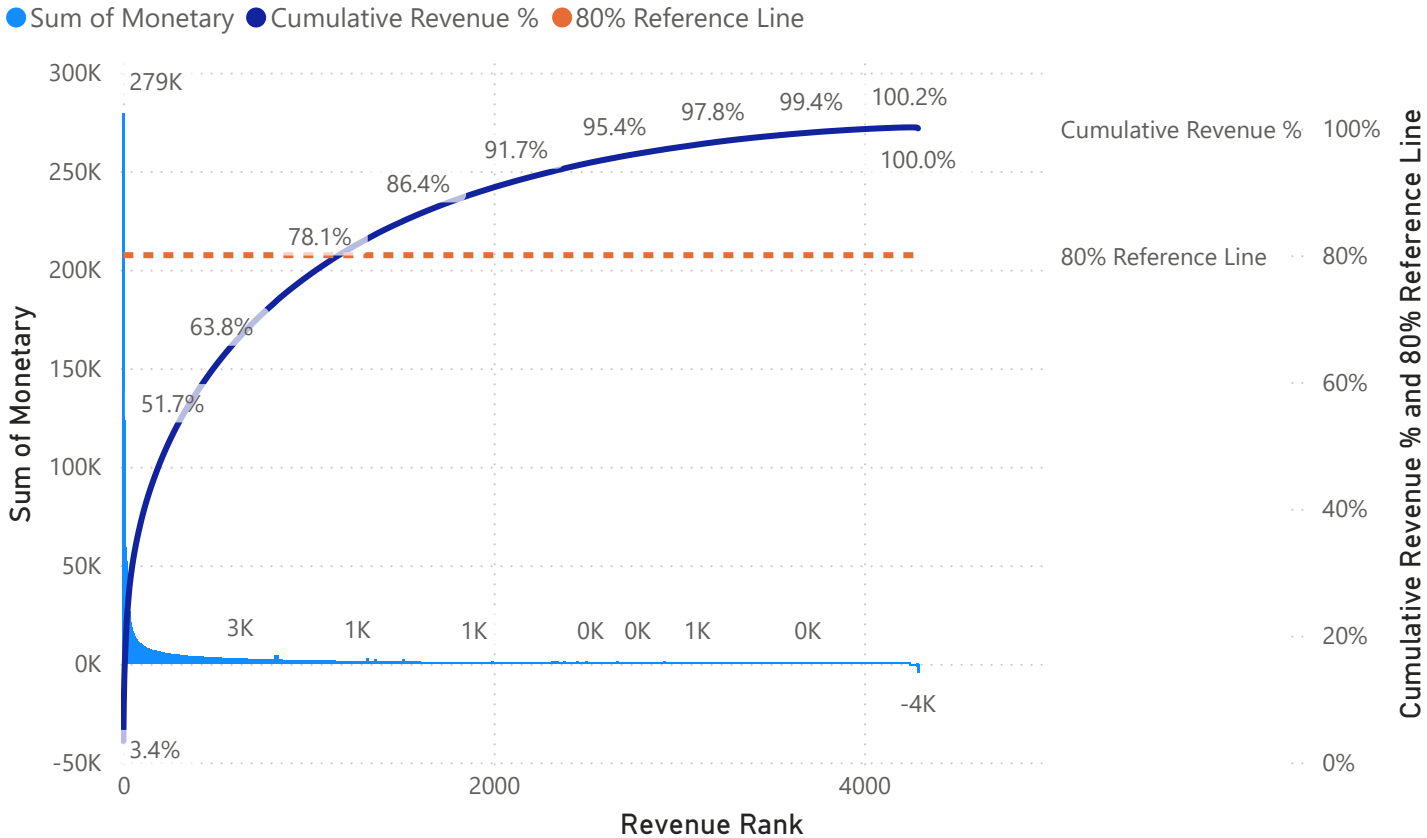
Key insights for customer retention strategy | Marketing Team



KEY INSIGHTS:

- 1. Garden category customers churn ~30% more than Home category customers.
- 2. Customers with 2+ returns churn at ~20% vs ~40% for those with none — returns signal engagement, not dissatisfaction.
- 3. Top ~27% of customers (high spenders) drive 80% of revenue and show near-zero churn.
- 4. Churn spikes in January (post-holiday), requiring targeted re-engagement.

Sum of Monetary, Cumulative Revenue % and 80% Reference Line by Revenue Rank



Visual Representation

- **Bars:** Each bar is one customer's revenue (tallest bar = best customer)
- **Line:** Starts at the first bar (e.g., 3%), climbs steadily, ends at 100%
- **Red line at 80%:** Shows exactly where you cross the 80% threshold

This is why it's worth including – it tells a complete story about revenue distribution that no single KPI can capture.

Why Business Leaders Care

This single visual tells a powerful story:

- a. **Revenue concentration:** Is your business overly dependent on a few big customers? (risky)
- b. **Customer segmentation:** Which customers deserve VIP treatment?
- c. **Resource allocation:** Should marketing focus on retaining top customers or acquiring more mid-tier ones?
- d. **Sales strategy:** If top 20% of customers give 80% of revenue, losing just a few could be devastating.

Cumulative Revenue % (also called Pareto or 80/20 analysis) answers this specific business question:

"What percentage of our total revenue comes from our top customers?"

It shows how revenue accumulates as you go from your best customer down to your smallest customer.

The Classic 80/20 Rule (Pareto Principle)

Most businesses find that roughly **20% of customers generate 80% of revenue**. This chart will either confirm this pattern or reveal something different about our specific business.

If your line hits 80% after only 10% of customers, your revenue is *extremely* concentrated. If it takes 40% of customers to reach 80%, your revenue is more evenly distributed.

Explanation of Pareto Principle For This Chart

This Pareto chart shows revenue concentration. Here we see that our top 27% of customers generate 80% of revenue. This is slightly more distributed than the classic 80/20 rule, indicating a healthier, less risky customer base. Within that top tier, 496 customers with perfect RFM scores have zero churn – our most valuable and loyal segment.

Revenue Rank is the position of a customer when sorted by their total spending (Monetary) from highest to lowest.

The top 1,165 customers (out of 4,372 total) together contribute 80% of your entire revenue.

What This Tells us

- **Concentration:** 1,165 customers is about **26.6%** of your total customer base ($1,165 \div 4,372 \approx 0.266$).
- So roughly **27% of your customers generate 80% of your revenue**.
- This is close to the classic 80/20 rule (which would be 20% of customers → 80% of revenue). Your numbers show a slightly more distributed revenue (it takes 27% to reach 80%), but still highly concentrated.
- **Business implication:** These 1,165 customers are your most valuable. Losing even a few could significantly impact revenue. They should be the focus of loyalty programs, personalized service, and retention campaigns.

Comparison: The 496 customers with RFM 444 (and 0% churn) are likely a subset of this top group – your absolute best.

Our analysis shows that the top 1,165 customers – about 27% of our base – drive 80% of our revenue. These are the customers we must retain at all costs

Filter by Product Category

MainCategory, Churn, RFM_Score ▾

☐ Select all

▾ ☐ Garden

▾ ☐ Home

▾ ☐ Other

▾ ☐ Seasonal

Filter by Churn Status

MainCategory, Churn ▾

▾ ☐ Garden

▾ ☐ Home

▾ ☐ Other

▾ ☐ Seasonal

All Customers – Detailed List

Count of CustomerID	Recency	Frequency	Monetary	Sum of Churn
1	91	1	296.64	1
1	91	2	193.64	1
1	91	2	437.60	1
1	91	2	547.90	1
1	91	2	716.35	1
1	91	3	686.67	1
1	91	3	711.41	1
1	91	3	1,255.00	1
1	91	4	975.23	1
1	91	6	666.70	1
1	91	7	852.12	1
1	91	8	1,485.13	1
1	92	1	91.32	1
1	92	1	121.74	1
1	92	1	416.90	1



4372 Total Customers	373 Recency Value	248 Frequency Value	279.49K Monetary Value	226 Return Transactions ...	1 Churn Status	3654 Sum of Cancellationl...
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